RESEARCH NOTE / MACROECONOMIC SIGNALS

What the Yield Curve Is Currently Signaling

A framework-based assessment of recession risk, curve normalization, and cross-asset evidence.

Core assessment. The unusually deep 2022–2024 inversion remains relevant even after the Treasury curve moved back toward a positive slope. Normalization alone cannot establish that recession risk has passed. The more useful question is why the curve steepened and whether credit conditions and economic activity confirm the signal.

0.756	1990–	+0.55 pp
Reported out-of-sample ROC-AUC	Historical Treasury data window	10Y–2Y spread, April 2026 snapshot

01 / The economic mechanism

An inversion occurs when short-term Treasury yields exceed longer-term yields. It often develops as monetary policy tightens: short rates rise with the policy rate while longer rates incorporate expectations about future growth, inflation, and easing. This configuration can signal financial conditions that are restrictive relative to the longer-run outlook.

The channel to the real economy is gradual, not mechanical. Elevated funding costs can weigh on credit demand, lending, investment, and household spending. Consequently, an inverted curve is best read as an early warning about vulnerability—not a clock that identifies the exact month of a recession.

02 / What the project model shows

The analysis uses Treasury maturities from three months to 30 years and decomposes the curve into Nelson–Siegel level, slope, and curvature factors. A logistic regression combines these factors with conventional term spreads and recent changes in curve shape to classify recession outcomes.

Predictive performance. The project reports an out-of-sample ROC-AUC of 0.756 over a post-2010 evaluation window. That is evidence of useful ranking ability in the reported test, not a guarantee of calibrated probabilities or future forecasting accuracy. The outcome depends on the prediction horizon, recession-label construction, and validation design.

03 / Why re-steepening matters

A return to a positive curve can be encouraging, but its interpretation is conditional. In several historical episodes reviewed by the project, the curve began to re-steepen before recession conditions were fully evident. Falling short-term yields may reflect expected policy easing as growth weakens. By contrast, a rise in long-term yields can steepen the curve for different reasons. The direction of the spread alone does not distinguish these cases.

04 / Cross-asset context

The project compares market behavior across curve regimes using long-duration Treasuries (TLT), high-yield credit (HYG), and equities (SPY). Different return and drawdown patterns across inverted and steep-curve regimes reinforce the value of checking bond, credit, and equity signals together. These are descriptive historical comparisons, not evidence that a regime rule will produce repeatable trading profits.

05 / Reading the April 2026 snapshot

The project records the 10-year minus 2-year spread near +0.55 percentage points in April 2026, following a trough near −1.07 percentage points in 2023. These are dated observations, not live October 2026 quotes. The change is substantial, but a positive spread should be assessed alongside lending standards, credit spreads, employment, consumption, and the path of policy rates.

06 / What could invalidate a cautious reading?

A higher neutral rate: The economy may be able to sustain higher rates than in earlier cycles, making the inversion less restrictive than historical comparisons imply.

Fiscal offset: Public spending or transfers may support demand even as private credit conditions tighten.

Productivity gains: Faster supply-side growth may sustain output and earnings despite restrictive financing. The timing and scale of such gains are critical.

Bottom line

The curve is most valuable as one component of a monitoring framework. Its earlier inversion and subsequent re-steepening justify continued attention, and the project model shows measurable historical predictive signal. A responsible assessment remains conditional: update the outlook as policy, credit transmission, and real activity evolve, rather than treating any single spread or model probability as decisive.

METHOD & SCOPE / This note reformulates the findings in the provided project screenshots. Reported model results have not been independently reproduced. Historical market observations are dated April 2026. Referenced inputs include U.S. Treasury/FRED series, Nelson–Siegel factor modeling, logistic regression, and TLT/HYG/SPY regime comparisons.